

**FEDERAL MARITIME COMMISSION**

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**DOCKET NO. 14-16**

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**BALTIC AUTO SHIPPING, INC.**

**v.**

**MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV and  
EMPIRE UNITED LINES CO., INC.**

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**RESPONDENTS' OPPOSITION TO COMPLAINANT'S MOTION FOR  
AN INDEFINITE STAY OF THE TIME TO FILE A RESPONSE TO  
RESPONDENTS' PETITION REGARDING ATTORNEY FEES**

Respondents respectfully submit this opposition to Complainant's request for what amounts to an indefinite stay of these proceedings so that Complainant's counsel (Mr. Nussbaum) can endlessly relitigate the same meritless waiver argument that he already litigated over the past year and lost.

Complainant's request should be denied because Mr. Nussbaum failed to confer regarding his request for a stay in violation of the FMC Rules. Further, the grant of a stay would be futile because the record is clear that whatever negotiations occurred the settlement agreement relied upon by Mr. Nussbaum remained unsigned because Respondents did not agree to the terms, which is why the Commission rejected Mr. Nussbaum's waiver argument in its April 21, 2017 Memorandum Opinion and Order. **[Doc. No. 94]**. Complainant failed to appeal from the Commission's decision and thus, any attempt to relitigate this issue is fruitless.

**Background**

On April 21, 2016, a settlement conference was conducted in the matter captioned as *Empire United Lines Co., Inc. v. Baltic Auto Shipping Inc. et al.*, U.S.D.C. – D.N.J., 15 Civ. 355 (CCC) (MF). The conference was recorded by a stenographer and a transcript was prepared. Mr.

Nussbaum already provided the transcript to the Commission (albeit under seal) when he litigated his waiver argument nearly a year ago. **[Doc. No. 88]**. The terms of the settlement on the record did not include any waiver of Respondents' right to seek an award of attorney fees in this proceeding.

Notwithstanding this, Mr. Nussbaum now seeks to continue to litigate his already denied argument that an unsigned draft settlement agreement constitutes a waiver of Respondents' right to seek attorney fees in this proceeding, and is now seeking an indefinite stay to obtain discovery to support the same waiver argument which the Commission has already rejected four months ago. **[Doc. No. 94]**.

The unsigned settlement agreement which Mr. Nussbaum relied upon for his waiver argument was one of a number of drafts exchanged between the parties in the DNJ case and was ultimately never signed by Respondents because they disagreed with its terms. In fact, Mr. Nussbaum was the first to reject the draft on the basis that he refused to accept any settlement which did not include a release of any claims against himself stemming from his conduct in the DNJ case. See May 5, 2016 emails attached as **Exhibit A**.

Mr. Nussbaum was so desperate to avoid being subject to claims and sanctions for his bad faith conduct in the DNJ case that even before any draft was finalized or signed by any party, he asserted a phony claim that Respondents had "breached" the non-existent settlement agreement by informing a third-party that Respondents had "won the case." See Mr. Nussbaum's May 11, 2016 letter and affidavit from the President of Complainant attached as **Exhibit B**. Mr. Nussbaum backed down and abandoned his phony claim of a breach just five days later when he was faced with the threat of sanctions and a reopening of discovery in the DNJ case into the allegations that he had conspired with Complainant to defraud the Court in the DNJ case. See May 16, 2016 emails attached as **Exhibit C**.

Mr. Nussbaum's next tactic was to have Complainant sign, not the proposed draft settlement agreement, but instead a version in which he handwrote additional terms, including a release of "any forthcoming claims for attorneys fees and/or costs arising out of the FMC proceeding." See further May 16, 2016 emails attached as **Exhibit D**.

Mr. Nussbaum then spent the next month playing games about which draft was agreed upon and refusing to provide an original ink signed version of the settlement agreement. This required further litigation and in the end Respondents decided to simply stand by the terms of the settlement as agreed to on the record on April 21, 2016, which did not include any waiver of Respondents' right to seek an award of reasonable attorney fees in this matter (as evidenced by Mr. Nussbaum's repeated attempts to later insert a release of such in the draft settlement agreements).

In the meantime, Mr. Nussbaum sent a letter to the Secretary of the Commission advising that Complainant "hereby withdraws its appeal/exceptions to the Initial Decision of ALJ Guthridge of September 15, 2016 [sic], and further respectfully requests that the Commission stay all activity in Docket 14-16 pending consummation of the terms of the recently reached agreement between the parties. This is expected to occur within the next 60 days." See April 27, 2016 letter attached as **Exhibit E**.

On May 27, 2016, in response to an inquiry from the Secretary of the Commission, Mr. Nussbaum advised the Secretary via email that "[a]s of the time of this writing, Complainants have filed a duly executed copy of a Settlement Agreement regarding a resolution reached in an **unrelated matter** before the U.S. District Court for the District of New Jersey, and are presently awaiting a countersigned copy by the plaintiffs therein." (emphasis supplied). See May 27, 2016 email attached as **Exhibit F**.

On June 15, 2016, an Order was issued in the DNJ case “ORDERING that this action is hereby dismissed, without costs and without prejudice to the right, upon good cause shown within 60 days, to reopen the action if the settlement is not consummated.” See June 15, 2016 Order attached as **Exhibit G**.

Thus, Complainant had until August 15, 2016 to seek to reopen the DNJ case in the event that the settlement was not consummated.

On August 8, 2016, the Commission served an Order to File Joint Status Report reciting the content of Complainant’s April 27, 2016 letter and May 27, 2016 email, and directing that the parties provide a joint status report to the Commission by August 15, 2016. **[Doc. No. 74]**.

On August 15, 2016, Respondents filed a Status Report indicating that Respondents “cannot agree to the language” proposed in Complainant’s Stipulation to withdraw the appeal in this matter because said Stipulation “does more than ‘withdraw Complainant’s appeal’; by its terms it states that ‘this matter shall be discontinued with prejudice, and without costs, attorneys’ fees or disbursements to either party as against each other’”. **[Doc. No. 75]**.

Thus, Respondents had put Complainant on notice that they did not agree to waive any rights to seek reasonable attorney fees in this matter on the basis of their status as prevailing parties.

In Complainant’s Status Report, which was filed by Mr. Nussbaum after he had already received Respondents’ Status Report, no suggestion is made that the settlement of the “unrelated matter before the U.S. District Court for the District of New Jersey” included an agreement that the Respondents would waive their right to seek an award of reasonable attorney fees in this matter. **[Doc. No. 76]**.

Similarly, the Motion for Dismissal which Complainant filed that same day contained no suggestion whatsoever that the Respondents had agreed to waive their right to seek an award of reasonable attorney fees in this matter. **[Doc. No. 77]**.

Moreover, the very next day, Mr. Nussbaum wrote to the Court in the DNJ case and stated his position that “[a]s of the time of this writing sixty (60) days have now elapsed since the issuance of the Court’s [June 15, 2016] Order” any motion “to reopen this case would be *untimely* by the clear meaning and dates certain prescribed in the Court’s Order of June 15, 2016, and should thus be rejected.” See August 16, 2016 letter attached as **Exhibit H**.

Thus, notwithstanding his currently professed position that Respondents had waived their right to seek attorney fees in this matter via the settlement of the “unrelated matter before the U.S. District Court for the District of New Jersey,” Mr. Nussbaum, upon being informed of Respondents’ unwillingness to stipulate to such a waiver in this matter, not only did not seek to reopen the DNJ case to seek enforcement of the settlement agreement, he actually instead wrote to the Court in the DNJ case to affirmatively advise the Court that any such request to reopen the case should be rejected as untimely.

The first time that Complainant raised the argument that the settlement in the DNJ case constituted a waiver of Respondents’ right to seek an award of reasonable attorney fees in this matter was on September 2, 2016, when Complainant sought to rely upon an unsigned and redacted settlement agreement, which Mr. Nussbaum refused to even provide to Respondents’ counsel, under the pretext that doing so would violate a confidentiality provision in said purported settlement agreement. **[Doc. Nos. 80, 81, and 82]**.

Even after taking this position however, Mr. Nussbaum made no effort whatsoever to attempt to reopen the DNJ case.

On April 21, 2017, the Commission served a Memorandum Opinion and Order which fully and finally resolved the issue of Respondents' purported waiver of the right to seek reasonable attorney fees, by finding that "*although the parties both manifested a willingness to consider a full settlement, the Settlement Agreement was never signed by Respondents and at this point, the parties have not jointly decided that settlement is in their best interest*" and concluding that "[i]t would therefore be inappropriate for the Commission to terminate a party's statutory right to seek attorney fees based on the unilateral request of the opposing party." **[Doc. No. 94 at pp. 9 and 13].**

Complainant did not appeal from, seek reconsideration of, or take exceptions to, the Commission's April 21, 2017 Memorandum Opinion and Order and that decision is now final.<sup>1</sup>

Instead, counsel for Complainant now improperly seeks to relitigate this issue once again in the context of Complainant's opposition to Respondents' Petition Regarding Attorney Fees, and in connection with said improper effort, has now twice sought an extension of time to file said opposition, and now seeks an indefinite stay to obtain discovery regarding the already rejected, and now abandoned, waiver argument.

**The Request for a Stay Should Be Denied Due to Mr. Nussbaum's Failure to Confer**

The Commission should know that Mr. Nussbaum never conferred with Respondents' counsel regarding the request for a stay. Instead, he misrepresented that he was seeking consent for an extension of time until September 6, 2017 of the time for Complainant to oppose Respondents' Petition Regarding Attorney Fees. Moreover, the pretext provided for the requested extension was different than what Mr. Nussbaum is now reporting to the Commission.

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<sup>1</sup> As pointed out in Respondents Petition Regarding Attorney Fees, this means that the September 15, 2015 Initial Decision is also final, and thus, Complainant cannot attack the finding that Complainant's claims were time-barred and previously released pursuant to the 2011 settlement agreement, or that Respondents are properly considered prevailing parties and may seek an award of reasonable attorney fees.

On Sunday, August 13, 2017, Mr. Nussbaum emailed Respondents' counsel to advise that "there will be a telephonic conference on Monday, August 14, 2017 at 3:00 p.m. with the Honorable Judge Dennis M. Cavanaugh. The topic of discussion will be the attempted perpetration of a fraud upon the Federal Maritime Commission by you and your clients arising out of your filing of a Petition for attorneys fees therein, despite your unequivocal waiver of the right to seek same. Call in details will be circulated under separate cover. The [sic] will be no adjournments of this conference." See August 13, 2017 email attached as **Exhibit I**.

The following day, Mr. Nussbaum sent another email to Respondents' counsel to advise that "[i]nasmuch as you have failed to participate in the telephonic conference which took place on Monday, August 14, 2017 at 3:00 p.m. before the Honorable Dennis M. Cavanaugh regarding the fraudulent Petition filed by you and your clients before the Federal Maritime Commission, please advise if your client will consent to an **extension** of time for complainant to file an opposition to your fraudulent Petition, up to and including September 6, 2017. Said extension will allow you the **opportunity to participate in a second conference to be scheduled with Judge Cavanaugh** after which you may choose to withdraw your Petition and avoid further burdening the Court and the Commission with this fraudulent application and the legal, ethical, and criminal implications arising therefrom."

The undersigned responded to these emails on August 14, 2017 to advise that no such conference with Judge Cavanaugh was scheduled or ordered, and communicated Respondents' objection to Complainant's request for a further extension of time until September 6, 2017. See August 14, 2017 emails attached as **Exhibit J**.

The undersigned requested that Mr. Nussbaum attach these email exchanges to any further motion seeking an extension so the Commission could be made aware of the reasons for

refusing to consent to Complainant's request, but Mr. Nussbaum refused to do this.

Instead, he filed a motion seeking entirely different relief than what was represented earlier (an open-ended extension and a stay in the alternative), and gave an entirely different reason for the requested relief (the need to conduct a non-party deposition of a United States District Court Judge he intended to subpoena). **[Doc. No. 102]**.

What Complainant's second motion for an extension of time reveals, is that Mr. Nussbaum's emails to the undersigned were misrepresentations. There never was any "conference" ordered by Judge Cavanaugh or the District of New Jersey Court, and in fact, Judge Cavanaugh wants nothing to do with Mr. Nussbaum or Complainant's argument that an unsigned settlement agreement constitutes a waiver of Respondents' right to seek an award of reasonable attorney fees in this matter. As Mr. Nussbaum himself admits, Judge Cavanaugh does not want to "get involved" and "prefers not to involve himself any further in this matter." **[Doc. No. 102 at pp. 2-3]**. However, Mr. Nussbaum is concealing and has refused to produce this correspondence which he selectively quotes from.

Complainant's second motion also reveals that Mr. Nussbaum has no intention of ever complying with the FMC Rules. His failure to confer in good faith regarding the relief sought (as required under Rule 71) occurred notwithstanding the fact that he was specifically reminded of this obligation just two weeks ago by the Assistant Secretary of the Commission, when his first attempt to file a motion for an extension of time was rejected for failing to confer.

Mr. Nussbaum failed to inform Respondents that he intended to request a stay, and failed to confer regarding this request for a stay. Respondents respectfully submit that this failure to confer is sufficient grounds for denial of Mr. Nussbaum's request for a stay.

### **The Request for a Stay Should be Denied Because Any Waiver Argument Would be Futile**

Even putting aside Mr. Nussbaum's open flouting of the FMC Rules, Respondents respectfully submit that no stay should be granted at this point, since it is now abundantly clear that the only purpose Mr. Nussbaum has in seeking a stay is to (a) continue to delay these proceedings, (b) harass a United States District Court Judge,<sup>2</sup> and (c) untimely relitigate the Commission's April 21, 2017, Memorandum Opinion and Order.

In the April 21, 2017, Memorandum Opinion and Order the Commission stated plainly: (1) that the settlement agreement was not jointly signed and therefore ineffective for FMC purposes, and (2) that a unilateral request by Complainant was an insufficient basis for the Commission to extinguish Respondents' statutory ability to seek reparations. **[Doc. No. 94]**. The issue the Commission had was not the quality of the evidence, but the lack of a valid basis for extinguishing Respondents' statutory right.

Thus, the testimony of Judge Cavanaugh, even if procured voluntarily, would be of no help to Complainant. Moreover, the premise that Judge Cavanaugh's testimony is relevant or necessary is false. Mr. Nussbaum represents that Judge Cavanaugh "presided over respondents' waiver of the right to seek attorneys fees in the instant case." **[Doc. No. 102 at p. 4]**. If this were the case, then such would be part of the record in the DNJ case and there would be no need to subpoena Judge Cavanaugh. But Mr. Nussbaum already provided the Commission with the transcript of the proceedings relating to the settlement of the DNJ case (see **Doc. No. 88**, filed under seal), and the Commission, with the benefit of that transcript, already resolved the waiver issue. Nothing was stated on the record in that transcript to support Mr. Nussbaum's waiver argument, and nothing Judge Cavanaugh can testify about will transform an unsigned settlement agreement into a signed settlement agreement.

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<sup>2</sup> If Mr. Nussbaum's request is granted, Respondents have no doubt that his next act will be to subpoena the Presiding Judge (with subpoenas of the Commissioners not far behind).

Further, Complainant's attempt to relitigate the waiver issue is untimely by virtue of being brought after not only well after expiration of the reconsideration period set out in the FMC Rules, but also considerably past Complainant's apparent conclusion that it did not have grounds to lodge an appeal of the Commission's April 21, 2017, Memorandum Opinion and Order.

Moreover, it is also unsupported by a change in law or newly-discovered fact, as required by the FMC Rules. Mr. Nussbaum does not claim newly-discovered facts (how could he given that the DNJ case was settled over a year ago?) or that new law overturns the Commission's decision regarding the basis for extinguishing a Respondents' statutory right to seek attorney fees. And as noted above, no amount of testimony from Judge Cavanaugh will provide any basis for the Commission to overturn its prior holding.

It bears repeating that the Presiding Judge found that Respondents were prevailing parties and thus entitled to seek an award of attorney fees. And the reason why Respondents should be granted attorney fees is because Complainant and its counsel both knew from the outset of these proceedings that the claims being asserted were time barred and already released pursuant to the 2011 settlement agreement and they were repeatedly and explicitly reminded of this fact all throughout these proceedings by both Respondents' counsel and the Presiding Judge. Despite repeated warnings, including specifically being warned by the Presiding Judge about Respondents' right to seek attorney fees, Complainant and its counsel **refused to dismiss claims which were obviously time barred and which had clearly been settled in 2011**, and instead chose to continue their campaign of harassment against Respondents by inventing an endless parade of spurious "new" arguments, of which Mr. Nussbaum's request for a stay appears to be

just the latest example.<sup>3</sup>

Finally, Respondents wish to bring to the Commission's attention the fact that when they sought a stay of this matter, at the outset, on the basis of anticipated developments in the District of New Jersey case, Complainant opposed this request. **[Doc. Nos. 10 and 12]**. The result was that Respondents' request for a stay was denied. **[Doc. No. 16]**.

Now that Complainant has lost this matter, it is seeking the same stay which it originally opposed. However, Respondents sought a stay in order to promote judicial economy and protect against the possibility of inconsistent results, since the District of New Jersey case was filed to enforce a fully signed 2011 settlement agreement entered into between Complainant and Respondents, by which Complainant released the Shipping Act claims in later alleged in this matter.

By contrast, Complainant seeks a stay so that it can dragoon a United States District Court Judge to appear before the Commission and testify in contravention of the federal courts' and the Commission's rules regarding confidentiality of settlement discussions, all so that Complainant can improperly relitigate the question of whether an unsigned settlement agreement provides a basis for waiver of Respondents' statutory right to seek an award of reasonable attorney fees as prevailing parties in this matter, notwithstanding the fact that the Commission already considered this argument and rejected it.

It would hardly be fair for Complainant's request for a stay to be granted, when

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<sup>3</sup> At this point it is obvious that Mr. Nussbaum's motivation in pursuing this litigation against Respondents is improper and based on bad faith. The Commission should know that Mr. Nussbaum has sued Respondents no less than five times in the past five years. And in nearly every filing Mr. Nussbaum continually directs his ire at "Michael Hitrinov" when everyone knows that the regulated entity by the Commission is Empire United Lines Co., Inc. of which Mr. Hitrinov is just the president. One explanation for Mr. Nussbaum's true motivation has been provided to the Commission by Mr. Nussbaum's former partner and client. See Affirmation of Sergey Kapustin filed as **Doc. No. 83** in FMC Docket No. 15-11 (and specifically paragraphs 42 and 43).

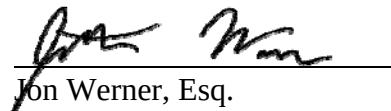
Respondents' same request, in the same action, and made under the same circumstances (except involving a signed 2011 agreement rather than an unsigned agreement) was denied.

For all of the foregoing reasons, Respondents respectfully submit that Complainant's request for a stay should be denied.

Dated this 22<sup>nd</sup> day of August 2017.

LYONS & FLOOD, LLP

By:

A handwritten signature in black ink, appearing to read "Jon Werner", is written over a horizontal line.

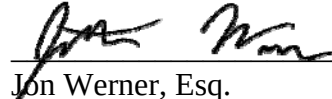
Jon Werner, Esq.  
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(212) 594-2400  
(212) 594-4589 (fax)  
jwerner@lyons-flood.com  
Attorney for Respondents

**CERTIFICATE OF SERVICE**

I hereby certify that I have this day served RESPONDENTS' OPPOSITION TO COMPLAINANT'S MOTION FOR AN INDEFINITE STAY OF THE TIME TO FILE A RESPONSE TO RESPONDENTS' PETITION REGARDING ATTORNEY FEES upon all parties of record by first class mail and email at the addresses below, and that the original and five copies are being filed with the Secretary of the Federal Maritime Commission:

Marcus A. Nussbaum, Esq.  
*Attorneys for Complainant*  
P.O. Box 245599  
Brooklyn, NY 11224  
**marcus.nussbaum@gmail.com**

Dated this 22<sup>nd</sup> day of August 2017.

  
\_\_\_\_\_  
Jon Werner, Esq.  
Lyons & Flood, LLP  
One Exchange Plaza  
55 Broadway, Suite 1501  
New York, NY 10006  
Attorney for Respondents

# EXHIBIT A

**From:** Jon Werner <jwerner@lyons-flood.com>  
**Sent:** Thursday, May 05, 2016 6:34 PM  
**To:** 'Marcus Nussbaum'  
**Cc:** 'Dennis M. Cavanaugh'; 'Cristina M. Pedreira'  
**Subject:** RE: Empire United Lines Co., Inc. v. Baltic Auto Shipping, Inc., 15 Civ. 355 (CCC) (MF)

Mr. Nussbaum (or should I say Mr. Katz?),

Your interpretation of the settlement agreement is nonsensical in that it denies the fact that you specifically agreed today to the parties' retention of the right to assert claims against counsel. Judge Cavanaugh was explicit about the fact that the parties' attorneys are not subject to the settlement agreement, including the release. There is therefore, no covenant by the parties not to sue each other's attorneys. Attorneys are not representatives – they are attorneys. If the term attorneys was meant to be indicated, the parties would have used the word attorneys to do so.

Your interpretation is precisely why this ambiguity needs to be resolved, because it highlights the possibility for arguments to be made which are clearly contrary to the intent of the parties and counsel when the settlement agreement was being drafted.

Regards,

**Jon  
Werner**  
**Lyons &  
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**From:** Marcus Nussbaum [<mailto:marcus.nussbaum@gmail.com>]  
**Sent:** Thursday, May 05, 2016 6:19 PM  
**To:** Jon Werner  
**Cc:** Dennis M. Cavanaugh; Cristina M. Pedreira  
**Subject:** Re: Empire United Lines Co., Inc. v. Baltic Auto Shipping, Inc., 15 Civ. 355 (CCC) (MF)

Dear Mr. Werner,

We are in receipt of your email of this date, sent *subsequent to* Judge Cavanaugh's rulings on the final version of the settlement agreement in this matter.

As you are well aware, Judge Cavanaugh specifically *denied* your proposal to delete the word "representatives" from the final draft of the settlement agreement.

Accordingly, we *reject* your instant proposed changes to said settlement agreement, as well as any further, subsequent, or forthcoming additional changes that you may propose.

We further *completely reject* that there was *any* intent between the parties to allow for the bringing on of any claims or causes of action against either parties' attorneys, though it has been manifestly clear that it has been and remains your desire to be able to do so.

In fact, and as agreed to by yourself and the undersigned, the "Covenant Not to Sue" explicitly *precludes* the bringing on of any claims, grievances, complaints, motions, or causes of action against the parties' representatives, which certainly and obviously on its face includes counsel as the parties *legal* representatives.

In closing, you are advised that *under no circumstances* will defendants or their counsel consent to *any* "after the fact" changes that you may propose, particularly including the proposed changes which were the subject of your email to which this responds. Further, should you fail to abide by or breach *any* portion of this agreement as agreed to by yourself and the undersigned **and as Ordered by Judge Cavanaugh**, we will seek *immediate* and appropriate judicial and non-judicial relief.

It is therefore demanded that you forthwith cease and desist from *any* further attempts to modify, change, or alter the terms of this agreement.

***Regards,***

Marcus A. Nussbaum, Esq.

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On Thu, May 5, 2016 at 4:30 PM, Jon Werner <[jwerner@lyons-flood.com](mailto:jwerner@lyons-flood.com)> wrote:

Further to the conference conducted today, the two changes agreed upon were:

1. To amend Paragraph 1(b)(vii) from *"for attorneys' fees and costs"* to *"for attorneys' fees and costs, including any forthcoming claims for attorneys' fees and/or costs arising out of the FMC Proceeding."*
2. To amend Paragraph 1 to provide for a newly added subparagraph (c) stating: *"This mutual general release expressly excludes any claims the Parties may have or assert against either Parties' attorneys."*

The purpose of the new Paragraph 1(c) as agreed upon by counsel was to specifically make it clear that the attorneys were not Parties to the settlement agreement and moreover that the Parties would not be impeded in any fashion from asserting claims against either Parties' attorneys by the settlement agreement.

Having further reviewed the settlement agreement to make these agreed upon modifications, I note that there is now an ambiguity that needs to be resolved to make the parties' and counsels' agreement effective. Specifically, Paragraph 2(e) provides that

*The Parties further represent and agree that they shall not file any lawsuits against the other, and their respective predecessors, successors, assigns, managers, shareholders, **representatives**, parent corporations, subsidiaries, affiliates, agents, servants, employees, consultants, officers, directors, each in their corporate and individual capacities, in any court or administrative tribunal, or file or cause to be filed any charges or complaints against the Parties with any municipal, state or federal agency charged with the enforcement of any law or regulation (including but not limited to the Federal Maritime Commission) based on the interactions, business arrangements, agreements, conduct or other dealings the Parties had with each other prior to the date of this Agreement. The Parties agree that they will not sue or file a charge, complaint, grievance or demand for arbitration against the other Party and their respective*

*predecessors, successors, assigns, managers, shareholders, **representatives**, parent corporations, subsidiaries, affiliates, agents, servants, employees, consultants, officers, directors, each in their corporate and individual capacities, in any forum or assist or otherwise participate willingly or voluntarily in any claim, arbitration, suit, action, investigation or other proceeding of any kind which relates to any matter that involves any relationship between the Parties, and that occurred up to and including the date of this Agreement, unless required to enforce this Agreement.*

To the extent that the term “representatives” (bolded above for emphasis) could be interpreted to include the Parties’ attorneys, this is contrary to the intent and purpose of the new Paragraph 1(c) agreed upon today by counsel. It would not make any sense for the Parties to agree not to release any claims they might have against either Parties’ attorneys, while at the same time covenanting not to sue either Parties’ attorneys.

To correct this ambiguity I propose modifying the new Paragraph 1(c) to provide as follows: *“This mutual general release expressly excludes any claims the Parties may have or assert against either Parties’ attorneys, **and nothing contained in Paragraph 2(e) shall prevent the Parties from asserting any claims against either Parties’ attorneys.**”*

Given counsels’ agreement today that the Parties will not be restricted from asserting any claims they may have now or in the future against either Parties’ attorneys, I cannot see what objections counsel could have to this minor change which simply eliminates a possible ambiguity.

A copy of the revised settlement agreement containing these changes is attached.

Regards,

Jon  
Werner

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**From:** Marcus Nussbaum [mailto:[marcus.nussbaum@gmail.com](mailto:marcus.nussbaum@gmail.com)]

**Sent:** Monday, May 02, 2016 8:25 PM

**To:** Jon Werner

**Cc:** Dennis M. Cavanaugh; Cristina M. Pedreira

**Subject:** Re: Empire United Lines Co., Inc. v. Baltic Auto Shipping, Inc., 15 Civ. 355 (CCC) (MF)

Dear Honorable Judge Cavanaugh,

We are in receipt of Mr. Werner's email of this date, wherein Mr. Werner advises that Your Honor suggested that the dispute regarding the wording of the settlement agreement be resolved via an attorneys' only hearing at Your Honor's office in Newark on Thursday at 10:00 a.m.

Defendants will not at this time engage in a point by point refutation of the issues raised in Mr. Werner's email of April 28, 2016, and will reserve those issues for the conference on Thursday.

We look forward to bringing this matter to a close on Thursday, and we thank Your Honor for your anticipated assistance in accomplishing that goal.

***Regards,***

Marcus A. Nussbaum, Esq.  
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On Mon, May 2, 2016 at 4:06 PM, Jon Werner <[jwerner@lyons-flood.com](mailto:jwerner@lyons-flood.com)> wrote:

Counsel,

Judge Cavanaugh has suggested that the dispute regarding the wording of the settlement agreement be resolved via an attorneys' only hearing at his office in Newark on Thursday at 10

am. Please confirm your availability.

Regards,

Jon Werner  
Lyons & Flood, LLP  
One Exchange Plaza  
55 Broadway, Suite 1501  
New York, NY 10006  
Tel: [\(212\) 594-2400](tel:(212)594-2400)  
Fax: [\(212\) 594-4589](tel:(212)594-4589)  
Mob: [\(917\) 509-2797](tel:(917)509-2797)  
[jwerner@lyons-flood.com](mailto:jwerner@lyons-flood.com)

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-----Original Message-----

From: Jon Werner [mailto:[jwerner@lyons-flood.com](mailto:jwerner@lyons-flood.com)]  
Sent: Thursday, April 28, 2016 10:14 AM  
To: 'Dennis M. Cavanaugh'; 'Marcus Nussbaum'  
Cc: 'Cristina M. Pedreira'  
Subject: RE: Empire United Lines Co., Inc. v. Baltic Auto Shipping, Inc., 15 Civ. 355 (CCC) (MF)

Mr. Nussbaum,

Your draft settlement agreement is not acceptable to plaintiffs. Other than being too "wordy" you have not identified any problem with plaintiffs' proposed draft settlement agreement. What legitimate objection could you possibly have to inclusion of standard integration and severability clauses, etc.?

By contrast, your draft is objectionable in that the release is not as broad and general as was agreed to by the parties as stated on the record on April 21. Nor does your draft provide for retention of jurisdiction by the DNJ, another point which was specifically agreed to on April 21 by the parties. See pages 12-14 of the transcript attached. Given the fact that this litigation arose from a breach of a prior settlement agreement between the parties, you can understand why plaintiffs are understandably interested in having a complete release and a clear mechanism for enforcement of any breach.

The confidentiality provision in your draft is also rejected because the liquidated damages provisions you propose are entirely one-sided. You propose that plaintiffs re-pay any settlement

funds received in the event of a breach of the confidentiality provision, but defendants' penalty is simply to pay what is owed already under the settlement agreement if they breach the confidentiality provision. What happens if the confidentiality provision is breached by defendants after full payment by them is effected? I think there is no point in establishing liquidated damages in connection for the breach of the confidentiality provision. Why set up the parties for further disputes and litigation?

Finally, I note that in your draft you have set payment terms contrary to the agreement reached on April 21, i.e. payment of the first half within 30 days of April 21 and the second half within 60 days of April 21. I again refer to pages 12-14 of the transcript attached. Your draft instead calls for payments to be made within 30 days and 60 days of execution of the settlement agreement. At the rate we are going it may be weeks before the settlement agreement is executed, and it seems to me that delaying payment may indeed be the purpose of your objections to the form of the settlement agreement.

I agree with your suggestion that Judge Cavanaugh simply choose between the two proposed drafts and attach another copy of plaintiffs' proposed draft settlement agreement for ease of reference.

Regards,

Jon Werner  
Lyons & Flood, LLP  
One Exchange Plaza  
55 Broadway, Suite 1501  
New York, NY 10006  
Tel: [\(212\) 594-2400](tel:(212)594-2400)  
Fax: [\(212\) 594-4589](tel:(212)594-4589)  
Mob: [\(917\) 509-2797](tel:(917)509-2797)  
[jwerner@lyons-flood.com](mailto:jwerner@lyons-flood.com)

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-----Original Message-----

From: Dennis M. Cavanaugh [mailto:[dcavanaugh@mdmc-law.com](mailto:dcavanaugh@mdmc-law.com)]

Sent: Thursday, April 28, 2016 9:33 AM

To: Marcus Nussbaum

Cc: Jon Werner; Cristina M. Pedreira

Subject: Re: Empire United Lines Co., Inc. v. Baltic Auto Shipping, Inc., 15 Civ. 355 (CCC) (MF)

I will review, I see no reason for the vitriolic comments. Please stop it. Thank you. D Cavanaugh

On Apr 27, 2016, at 10:07 PM, Marcus Nussbaum

<[marcus.nussbaum@gmail.com](mailto:marcus.nussbaum@gmail.com)><mailto:[marcus.nussbaum@gmail.com](mailto:marcus.nussbaum@gmail.com)>> wrote:

Dear Honorable Judge Cavanaugh,

I am in receipt of the wordy, verbose, tedious, and ridiculously lengthy proposed settlement Agreement by Mr. Werner, which is near incomprehensible in its needless length and totally unnecessary legal 'jargon', other than to justify Mr. Werner's endless billing to his client at each and every available opportunity.

Annexed hereto, is defendants' greatly 'pared down' proposed Agreement for Your Honor's review.

Succinctly stated, defendants' proposed Agreement has, along with eliminating huge sections of gratuitous verbiage, deleted specific recitals to unrelated actions, which though discontinued pursuant to the agreement are not and have not been within the jurisdiction of this Court.

Additionally, defendants' proposed Agreement cuts off Mr. Werner's unending visionquest for additional attorneys' fees which were never discussed or agreed to at the conference held on April 21, 2016. Further, defendants' proposed Agreement includes suggested language regarding equitable imposition of penalties for breach of the confidentiality of this Agreement.

In closing, it has come to our attention that both Mr. Werner and other counsel for Empire in the unrelated actions have, in recent emails, carelessly referred to "settlement" of this matter. This, in and of itself, is a disturbing breach of the confidentiality of this Agreement prior to its very execution. Accordingly, I have reminded Mr. Werner and other counsel that the agreed to language when referring to this Agreement should and shall be as follows: "the matter was resolved to the mutual satisfaction of the parties". By this email, we are again putting plaintiffs and their counsel on notice that any careless use of the words "settle", "settled", or "settlement" shall be deemed a breach of the confidentiality of this Agreement, resulting in immediate application to Your Honor for appropriate relief.

To the extent that Your Honor indicated that you would be the 'final arbiter' of any and all objections or disagreements between the parties, defendants do object to the proposed Agreement submitted by plaintiffs, and respectfully proffer defendants' proposed Agreement for Your Honor's review.

As always, we continue to thank the Court for its courtesy and consideration in this matter.

Respectfully submitted,

Marcus A. Nussbaum, Esq.  
P.O. Box 245599  
Brooklyn, NY 11224

Tel: [888-426-4370](tel:888-426-4370)  
Fax: [347-572-0439](tel:347-572-0439)  
<http://www.nussbaumlawfirm.com/>

cc: Seth M. Katz, Esq.

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<Mutual\_General\_Release\_and\_Settlement\_Agreement\_v\_2.pdf>

[McElroy, Deutsch, Mulvaney & Carpenter, LLP]<<http://www.mdmc-law.com>> Dennis M Cavanaugh Counsel McElroy, Deutsch, Mulvaney & Carpenter, LLP [www.mdmc-law.com](http://www.mdmc-law.com)<<http://www.mdmc-law.com>>

1300 Mount Kemble Avenue

P.O. Box 2075

Morristown, New Jersey 07962 [cid:image0025a7.GIF@a93ebf2c.4aa14c18]

[dcavanaugh@mdmc-law.com](mailto:dcavanaugh@mdmc-law.com)<<mailto:dcavanaugh@mdmc-law.com>>

[cid:imaged8c792.GIF@7e7f2ec8.439a5dca]Download vCard<<http://www.mdmc-law.com/tasks/sites/mdmc/assets/file/vCard2.cfm?email=dcavanaugh@mdmc-law.com>>

[cid:imagec45f42.GIF@e71fb966.47a02d58]973-425-8838

[cid:imagea7b53d.GIF@d6f81c4e.4ebca35e]973-425-0161

New Jersey<<http://www.mdmc-law.com/offices/?state=NJ>> | New York<<http://www.mdmc-law.com/offices/?state=NY>> | Colorado<[http://www.mdmc-law.com/offices/Greenwood\\_Village/](http://www.mdmc-law.com/offices/Greenwood_Village/)> | Pennsylvania<<http://www.mdmc-law.com/offices/Philadelphia/>> | Connecticut<<http://www.mdmc-law.com/offices/?state=CT>> | Massachusetts<<http://www.mdmc-law.com/offices/Boston/>> | Delaware<<http://www.mdmc-law.com/offices/Wilmington/>>

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P Please consider the environment before printing this e-mail.

# EXHIBIT B

# MARCUS A. NUSSBAUM, ESQ.

Mail Drop: P.O. Box 245599, Brooklyn, NY 11224

**Tel:** 888-426-4370 | **Fax:** 347-572-0439

**Email:** marcus.nussbaum@gmail.com

**Web:** www.nussbaumlawfirm.com

May 11, 2016

Via Electronic Mail

Hon. Dennis M. Cavanaugh  
McElroy, Deutsch, Mulvaney & Carpenter, LLP  
1300 Mount Kemble Avenue  
P.O. Box 2075  
Morristown, NJ 07962-2075

Re: *Empire United Lines Co., Inc. et al. v. Baltic Auto Shipping, Inc. et al.*  
U.S.D.C. – D.N.J., 15 Civ. 355 (CCC) (MF)

Dear Honorable Judge Cavanaugh,

I regret to inform the Court that notwithstanding the Confidentiality Provision of the Settlement Agreement entered into by and between the parties in this matter, inclusive of the substantial conferencing and negotiations regarding this provision together with the clear, explicit and unambiguous language contained therein, that it has come to our attention that Mr. Hitrinov has *breached* said Confidentiality Provision within two (2) weeks of the final conference and Your Honor's rulings resulting in the issuance of the final version of the Agreement.

While we fully expected that owing to who and what Mr. Hitrinov is that he would be physiologically incapable of containing himself from publicizing the terms and conditions of the Agreement, and thus violating the Confidentiality Provision thereof, we did not reasonably expect that said breach would occur quite so quickly.

Annexed to this email as an attachment, is a sworn Affidavit executed by Mr. Presniakovas detailing the circumstances of Mr. Hitrinov's breach of the Agreement, to wit: identification of the individuals to whom Mr. Hitrinov disclosed that he had "won the case" against Mr. Presniakovas and his company, and that Mr. Presniakovas had to "pay him money", including identification of the individual who related this information to Mr. Presniakovas, as well as identification of one of the persons to whom Mr. Hitrinov disclosed said confidential information. Further, and upon information and belief, the individual to whom Mr. Hitrinov published the terms and conditions of the Settlement Agreement, is more than willing, upon the issuance of a subpoena, to appear at any hearing which may be scheduled by the Court hereon, in order to give sworn testimony regarding Mr. Hitrinov's blatant and precipitous breach of said confidentiality provision.

Needless to say, this breach of the Agreement by Mr. Hitrinov has caused Mr. Presniakovas to endure great loss of face and reputation in his business community, as well as incalculable future lost business as a direct result of same.

This breach of the Agreement is particularly troubling in light of the amount of time spent by the parties and the Court discussing the importance of *total and complete* confidentiality, and the plaintiffs' initial resistance but ultimate agreement to the inclusion of this provision, inclusive of their explicit understanding of and agreement to same.

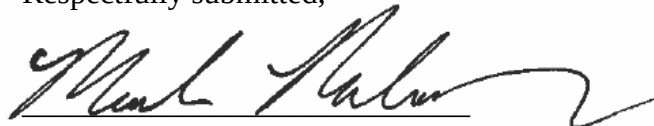
Re: *Empire United Lines Co., Inc. et al. v. Baltic Auto Shipping, Inc. et al.*  
U.S.D.C. – D.N.J., 15 Civ. 355 (CCC) (MF)

May 11, 2016  
Page 2 of 2

Consequently, defendants respectfully contend that as a result of this blatant breach of the Agreement by Mr. Hitrinov, that plaintiffs have *forfeited* their rights to any and all monies which were to have been paid under the terms of the Agreement, and that notwithstanding said forfeiture, that this case must still remain discontinued and otherwise dismissed *with prejudice and without leave to restore or renew*, as an appropriate sanction for this blatant breach of the Agreement by Mr. Hitrinov and the resultant damages sustained by Mr. Presniakovas as a direct result of same.

As always, we thank the Court for its continuing courtesy and consideration in this matter.

Respectfully submitted,

A handwritten signature in black ink, appearing to read 'Marcus A. Nussbaum', with a long, sweeping horizontal flourish extending to the right.

Marcus A. Nussbaum, Esq.

cc: Seth M. Katz, Esq., *Pro Hac Vice* (Of Counsel)

Via First Class Mail, and Electronic Mail

Lyons & Flood LLP  
Attn: Mr. Jon Werner, Esq.  
One Exchange Plaza  
55 Broadway, Suite 1501  
New York, NY 10006

**UNITED STATES DISTRICT COURT  
FOR THE DISTRICT OF NEW JERSEY  
NEWARK VICINAGE**

Marcus A. Nussbaum (MN 9581)

P.O. Box 245599

Brooklyn, NY 11224

Telephone: (888)-426-4370

marcus.nussbaum@gmail.com

*Attorney for Defendants*

**BALTIC AUTO SHIPPING, INC. and**

**ANDREJUS PRESNIAKOVAS**

EMPIRE UNITED LINES CO., INC. and  
MICHAEL HITRINOV,

Plaintiffs,

- vs. -

BALTIC AUTO SHIPPING, INC. and  
ANDREJUS PRESNIAKOVAS,

Defendants.

CIVIL ACTION NO.

15-cv-355 (CCC) (MF)

**AFFIDAVIT**

STATE OF ILLINOIS            )

) SS.:

COUNTY OF COOK            )

Andrejus Presniakovas being duly sworn, deposes and says as follows pursuant to the penalties of perjury:

1. I and my company, Baltic Auto Shipping Inc. ("Baltic") are former defendants on the above captioned matter. As such, I have personal knowledge of and am duly familiar with the facts and circumstances of this case based upon my former status as a party defendant herein.

2. On April 21, 2016, following extended discussion with my attorney, Marcus A. Nussbaum, Esq., I agreed to enter into a Settlement Agreement (the "Agreement") in full resolution and satisfaction of all claims made against myself and Baltic.

3. A key factor in my agreement to settle this case as a "business decision" to avoid further legal fees, and with no admission of liability on the part of myself or my company, Baltic, was the assurance that the terms of this Agreement would be held and kept in strict confidentiality.

4. Specifically, my attorney explained to me that the settlement Agreement contained a provision which assured that neither the parties, nor their attorneys would discuss the terms and conditions of the settlement Agreement with *anyone* other than the parties' attorneys, financial advisors; or if required in response to a subpoena or order from a court of law or administrative agency or tribunal; or as required under State law or administrative regulation.

5. The importance of the confidentiality provision lies in the fact that the industry within which I work is an extremely small business community and profits and losses depend heavily upon reputation.

6. On May 6, 2016, I was advised by Laura Supronas of Transbaltica Inc. that Mr. Hitrinov had breached the confidentiality provision of the settlement agreement by telling several individuals and businesses, including but not limited to Sergio Belli, line manager of the MEDITERRANEAN SHIPPING COMPANY (USA) INC., that he had "won the case" against myself and my company Baltic, and that we "had to pay him money".

7. This unauthorized disclosure and breach of the settlement agreement will undisputedly cause myself and my company, Baltic damage to reputation, and will certainly result in a loss of future business.

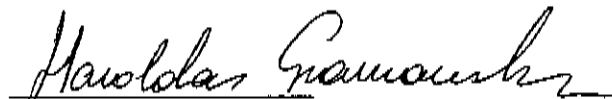
8. While my attorney has explained to me that the Settlement Agreement did not contain any provision for "liquidated damages", I am respectfully submitting this affidavit in support of my attorney's application to the Court to compel this matter to be deemed settled, dismissed, and otherwise discontinued; and that the plaintiffs be deemed to have forfeited any and all monies that would otherwise have been paid under the terms of the settlement agreement, due to their breach of the confidentiality provision of the Agreement.

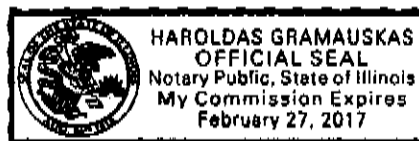
Dated: Bedford Park, Illinois  
May 10, 2016

By:

  
Andrejus Presniakovas

Sworn to before me on the 10th  
day of May, 2016.

  
NOTARY



# EXHIBIT C

**From:** Jon Werner <jwerner@lyons-flood.com>  
**Sent:** Monday, May 16, 2016 8:01 PM  
**To:** 'Marcus Nussbaum'; 'Dennis M. Cavanaugh'  
**Cc:** 'Cristina M. Pedreira'  
**Subject:** RE: Empire United Lines Co., Inc. v. Baltic Auto Shipping, Inc., 15 Civ. 355 (CCC) (MF)  
**Attachments:** NoticeNotSignSub.pdf

Mr. Nussbaum,

Plaintiffs have no faith whatsoever in your representations to the Court at this point.

Thus, plaintiffs demand that you comply with Judge Cavanaugh orders of today as originally set forth by paying the settlement to his firm to be held in escrow. If defendants then wish for Judge Cavanaugh to be authorized to release the funds to plaintiffs, you may so instruct after they are received by his firm. I also insist that you provide the precise date prior to May 21, 2016 when the initial settlement payment will be sent.

Further, I note that your email makes reference to the settlement agreement having been executed by Mr. Presniakovas. I have not received same and until I do, I will not consider the defendants to have executed any settlement agreement. Each and every page of the settlement agreement should be initialed or signed by Mr. Presniakovas and the original should be sent to me. Plaintiffs will provide their original initialed and countersigned copy of the settlement agreement on receipt of the agreement signed by defendants. Once the English version has been fully executed via this method I will circulate a Russian translation for signature by all parties as well – the English language version will control in case of any conflict.

Plaintiffs also request that the June 3, 2016 conference remain scheduled until compliance by defendants with their obligations under the settlement agreement has been confirmed. Plaintiffs also suggest that the Court's order that the defendants must pay the \$10,000 retainer within five days remain in place to ensure full compliance by defendants of all their settlement obligations including full payment of all settlement funds and discontinuance of the various actions etc. This should not present any problems since to the extent defendants will comply with their settlement obligations the retainer funds can simply be returned unused.

By the way Mr. Nussbaum, I understand you are trying to subpoena me again – this time in a new FMC case – see attached notice to parties rejecting your subpoena. I remind you that you are not released under the settlement agreement and moreover, that even if you were released, this Court, and indeed any relevant Court, still retains the authority to sanction you for any wrongful or unethical conduct.

Regards,

Jon  
Werner  
Lyons &  
Flood, LLP  
One Exchange  
Plaza  
55 Broadway,  
Suite 1501  
New York, NY  
10006  
Tel: (212) 594-  
2400  
Fax: (212) 594-  
4589  
Mob: (917)  
509-2797  
[jwerner@lyons-  
flood.com](mailto:jwerner@lyons-flood.com)



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**From:** Marcus Nussbaum [<mailto:marcus.nussbaum@gmail.com>]  
**Sent:** Monday, May 16, 2016 6:49 PM  
**To:** Dennis M. Cavanaugh  
**Cc:** Jon Werner; Cristina M. Pedreira  
**Subject:** Empire United Lines Co., Inc. v. Baltic Auto Shipping, Inc., 15 Civ. 355 (CCC) (MF)

Dear Judge Cavanaugh,

Further to our conversation with Ms. Pedreira of your firm this date, please allow this correspondence to advise that defendants have reconsidered their prior application for a hearing to be held hereon as to plaintiffs' breach of the confidentiality provision of the Settlement Agreement entered into between the parties in this matter.

Specifically, Mr. Presniakovas will remit the proceeds as agreed upon on or before the dates certain set forth in the Agreement. It will, therefore, be unnecessary to deposit these funds in your firm's escrow account. By copy of this correspondence it is requested that plaintiffs provide information as to where said proceeds should be wired.

Consequently, defendants respectfully withdraw their request for a hearing, presently scheduled to take place on June 3, 2016. Additionally, and in that the Settlement Agreement will now be given effect forthwith, we trust that no additional retainer is necessitated.

In closing, we not having confirmed with Ms. Pedreira that your office received a copy of the Settlement Agreement signed by Mr. Presniakovas. It is requested that defendants be provided with a fully executed copy of the Agreement, bearing plaintiffs' signature.

We further note your denial of plaintiffs' request to continue discovery hereon, which is now moot.

***Very truly yours,***

Marcus A. Nussbaum, Esq.  
P.O. Box 245599  
Brooklyn, NY 11224  
Tel: 888-426-4370  
Fax: 347-572-0439  
<http://www.nussbaumlawfirm.com/>

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|              |          |            |   |   |   |
|--------------|----------|------------|---|---|---|
| S            | E        | R          | V | E | D |
| May 16, 2016 |          |            |   |   |   |
| FEDERAL      | MARITIME | COMMISSION |   |   |   |

**FEDERAL MARITIME COMMISSION**

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**DOCKET NO. 15-11**

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**IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV**

**v.**

**MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV,  
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

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**NOTICE TO PARTIES**

---

Commission Rules provide that an Administrative Law Judge will issue a subpoena "upon request of any party, without notice to any other party." 46 C.F.R. § 502.131. On May 16, 2016, this Office received a subpoena *duces tecum* and *in personam* submitted for signature by Complainants. The subpoena commands the witness to appear at the offices of Jaguar Court Reporting, but does not specify a date on which the witness must appear. *See attached.* The parties are notified that given this defect, the subpoena will not be issued.

  
Clay G. Guthridge  
Administrative Law Judge

BEFORE THE  
FEDERAL MARITIME COMMISSION

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**ORIGINAL**

Docket No.: 15-11

---

**IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV,**

*Complainants,*

— vs. —

**MICHAEL HITRINOV a/k/a  
MICHAEL KHITRINOV,  
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

*Respondents.*

---

**SUBPOENA DUCES TECUM AND IN PERSONAM**

**TO: Lyons & Flood, LLP**  
Attn: Jon Werner, Esq.  
One Exchange Plaza  
55 Broadway, Suite 1501  
New York, NY 10006

YOU ARE HEREBY COMMANDED to appear at the offices of Jaguar Court Reporting, 44 Court Street, Suite 1207, Brooklyn, New York, on the \_\_\_\_ day of \_\_\_\_\_, 2016 at 9:30 a.m., in the forenoon of that day, and at any adjourned or recessed date thereafter, to give testimony regarding your preparation, completion and submission of an Affirmation in the above captioned matter, and as to all facts and circumstances connected with, relating to, arising out of, or otherwise regarding same and that you bring with you and produce thereat, any and all documents, in your possession or otherwise that you reviewed or relied upon in the preparation, completion and submission of said Affirmation.

The nature of this action as it relates to this subpoena involves a default judgment order issued by the Federal Maritime Commission against the respondents herein.

For your failure to do so you will be deemed guilty of a contempt and shall be liable for all damages sustained to the party aggrieved thereby and to forfeit \$50 in addition thereto.

Dated: Washington, DC

\_\_\_\_\_, 2016

---

Clay G. Guthridge  
Chief Administrative Law Judge

# EXHIBIT D

**From:** Jon Werner <jwerner@lyons-flood.com>  
**Sent:** Monday, May 16, 2016 9:44 PM  
**To:** 'Marcus Nussbaum'  
**Cc:** 'Dennis M. Cavanaugh'; 'Cristina M. Pedreira'  
**Subject:** RE: Empire United Lines Co., Inc. v. Baltic Auto Shipping, Inc., 15 Civ. 355 (CCC) (MF)

Mr. Nussbaum,

Did you really think that having your client execute an agreement which was contrary to what was agreed by the parties and their counsel would really have any weight whatsoever?

I encourage you to convince your client to sign the actual agreed to settlement agreement in English to avoid further costs in this matter. I also note your lack of objection to the payment of the \$10,000 retainer.

Regards,

**Jon  
Werner**  
**Lyons &  
Flood, LLP**  
One Exchange  
Plaza  
55 Broadway,  
Suite 1501  
New York, NY  
10006  
Tel: (212) 594-  
2400  
Fax: (212) 594-  
4589  
Mob: (917)  
509-2797  
[jwerner@lyons-  
flood.com](mailto:jwerner@lyons-flood.com)



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**From:** Marcus Nussbaum [<mailto:marcus.nussbaum@gmail.com>]  
**Sent:** Monday, May 16, 2016 9:16 PM  
**To:** Jon Werner  
**Cc:** Dennis M. Cavanaugh; Cristina M. Pedreira  
**Subject:** Empire United Lines Co., Inc. v. Baltic Auto Shipping, Inc., 15 Civ. 355 (CCC) (MF)

Mr. Werner,

I am in receipt of yours of this date to which this email responds. Quite frankly, we could not care less about what you do or do not have faith in; particularly so in light of your own repeated lies to the Court, deceitful practice, and several violations of ethical conduct in this and other matters. That said, attached herein is a copy of the Settlement Agreement signed by Mr. Presniakovas. Your 'lately added' conditions regarding the execution of same are *rejected in their*

*entirety*. Neither do defendants have *any* intention of executing *any* further or additional copies of the Agreement in *any* foreign languages.

Notwithstanding your constant, retributive, punitive and blatantly transparent attempts to 'jack up' costs and billing in this matter, and cause defendants to unnecessarily and needlessly incur additional expense, we trust that Judge Cavanaugh has seen through this sham. There is obviously no need for *any* further conferences to be held hereon, as Judge Cavanaugh has again ruled that this litigation is *over*, and the matter *settled*.

Nor are defendants required to apprise plaintiffs of the precise date that settlement proceeds will be transmitted, other than to state that said proceeds shall be remitted by the dates certain set forth in the Agreement, with the first payment thereof to be received on or before May 21, 2016, four (4) days hence.

It is therefore now *demanded* that you *forthwith* provide defendants with information regarding where said proceeds are to be wired to. Needless to say, your failure to timely provide this information will delay transmission of same. Accordingly, you are advised that information regarding where said settlement proceeds are to be transmitted *must* be provided by plaintiffs no later than Thursday, May 19, 2016 by close of business (to wit: by 5:00 p.m.) in order to ensure that said transmission is timely completed. Be guided accordingly.

In closing, and with regard to your reference to an unrelated matter, defendants decline to address same within the scope of this email, other than to advise you that service of documents via electronic means in this or any other pending or future case which may unfortunately involve your representation, is now and forever *revoked*.

***Regards,***

Marcus A. Nussbaum, Esq.

P.O. Box 245599

Brooklyn, NY 11224

Tel: 888-426-4370

Fax: 347-572-0439

<http://www.nussbaumlawfirm.com/>

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# EXHIBIT E

# MARCUS A. NUSSBAUM, ESQ.

Mail Drop: P.O. Box 245599, Brooklyn, NY 11224

Tel: 888-426-4370 | Fax: 347-572-0439

Email: [marcus.nussbaum@gmail.com](mailto:marcus.nussbaum@gmail.com)

Web: [www.nussbaumlawfirm.com](http://www.nussbaumlawfirm.com)

April 27, 2016

Via Email to [secretary@fmc.gov](mailto:secretary@fmc.gov) and First Class Mail

Attn: Karen V. Gregory, Secretary

Federal Maritime Commission

800 N. Capitol St. N.W.

Washington, DC 20573

Re: *Baltic Auto Shipping Inc. v. Michael Hitrinov et al.*  
FMC Docket No.: 14-16

Dear Ms. Gregory,

I represent the Complainant in the above referenced matter. Please be advised that all claims and counterclaims in this matter have been resolved to the mutual satisfaction of the parties.

Complainant Baltic Auto Shipping Inc. hereby withdraws its appeal/exceptions to the Initial Decision of ALJ Guthridge of September 15, 2016, and further respectfully requests that the Commission stay all activity in Docket 14-16, pending consummation of the terms of the recently reached agreement between the parties. This is expected to occur within the next 60 days.

A proposed formal Notice withdrawing all claims and counterclaims shall be provided to the Commission under separate cover.

Thank you for your continued courtesy and consideration.

Very truly yours,



Marcus A. Nussbaum, Esq.

cc: Gerard S. Doyle, Jr., Esq.  
The Law Office of Doyle & Doyle  
636 Morris Turnpike  
Short Hills, NJ 07078

# EXHIBIT F

**From:** Marcus Nussbaum <marcus.nussbaum@gmail.com>  
**Sent:** Friday, May 27, 2016 6:07 PM  
**To:** Secretary  
**Cc:** Gerry Doyle; Jon Werner  
**Subject:** Re: FMC Docket No.: 14-16

Dear Ms. Dickon,

Kindly allow this email to serve as a response to yours of this date in the above referenced matter.

As of the time of this writing, Complainants have filed a duly executed copy of a Settlement Agreement regarding a resolution reached in an unrelated matter before the U.S. District Court for the District of New Jersey, and are presently awaiting a countersigned copy by the plaintiffs therein.

Upon receipt of same, we will forthwith file a formal Notice of Withdrawal in the instant case still pending before the Commission.

We the thank the Commission for its patience, courtesy, and consideration.

***Regards,***

Marcus A. Nussbaum, Esq.  
P.O. Box 245599  
Brooklyn, NY 11224  
Tel: 888-426-4370  
Fax: 347-572-0439  
<http://www.nussbaumlawfirm.com/>

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# EXHIBIT G

**CLOSED**

UNITED STATES DISTRICT COURT  
DISTRICT OF NEW JERSEY

**EMPIRE UNITED LINES CO., INC.,  
ET ALS.,**

Plaintiff(s),

v.

**BALTIC AUTO SHIPPING, INC., ET ALS.,**

Defendant(s)

Civil No. 15-355 (CCC)

**ORDER**

It appearing that it has been reported to the Court that the above-entitled action has been settled as to defendants,

**IT IS** on this the 15<sup>th</sup> day of June, 2016,

**ORDERED** that this action is hereby dismissed, without costs and without prejudice to the right, upon good cause shown within 60 days, to reopen the action if the settlement is not consummated; and it is further,

**ORDERED** that the Clerk shall close the file in this matter.

s/ Claire C. Cecchi  
UNITED STATES DISTRICT JUDGE

# EXHIBIT H

**MARCUS A. NUSSBAUM, ESQ.**

Mail Drop: P.O. Box 245599, Brooklyn, NY 11224

**Tel:** 888-426-4370 | **Fax:** 347-572-0439

**Email:** marcus.nussbaum@gmail.com

**Web:** www.nussbaumlawfirm.com

August 16, 2016

**Via ECF Electronic Filing**

Judge Claire C. Cecchi  
United States District Court  
District of New Jersey  
50 Walnut Street, Courtroom MLK 2B  
Newark, NJ 07102

Re: *Empire United Lines Co., Inc. et al. v. Baltic Auto Shipping, Inc. et al.*  
U.S.D.C. – D.N.J., 15 Civ. 355 (CCC) (MF)

Dear Honorable Judge Cecchi,

As Your Honor is aware, I represented the defendants in this now closed matter. I write to the Court with respect to the issue of any post-settlement motions which may be served or filed by the plaintiffs herein.

As Your Honor will recall, on June 15, 2016 the Court issued an Order mandating, in relevant part as follows:

“...this action is hereby dismissed, without costs and without prejudice to the right, upon good cause shown within 60 days, to reopen the action if the settlement is not consummated...” (See, the Court’s Order of June 15, 2016, a copy of which is attached hereto).

As of the time of this writing sixty (60) days have now elapsed since the issuance of the Court’s Order herein.

Consequently, it is respectfully submitted that any subsequently served motion by the plaintiffs to reopen this case would be *untimely* by the clear meaning and dates certain prescribed in the Court’s Order of June 15, 2016, and should thus be rejected.

Accordingly, defendants will now close their file with respect to this matter.

As always, we thank the Court for its courtesy and consideration during the pendency of this litigation, which has now ended.

Respectfully submitted,



Marcus A. Nussbaum (MN 9581)

August 16, 2016

Page 2

Encl.

cc: **Via ECF Electronic Filing**  
Magistrate Judge Mark Falk  
United States District Court  
District of New Jersey  
50 Walnut Street, Courtroom  
Newark, NJ 07102

**Via Electronic Mail**  
Hon. Dennis M. Cavanaugh  
McElroy, Deutsch, Mulvaney & Carpenter, LLP  
1300 Mount Kemble Avenue  
P.O. Box 2075  
Morristown, NJ 07962-2075

Seth M. Katz, Esq. (Pro hac vice Of-Counsel)

Andrejus Presniakovas c/o Baltic Auto Shipping Inc.

**Via ECF Electronic Filing**  
Lyons & Flood  
Attn: Jon Werner, Esq.  
One Exchange Plaza  
55 Broadway, Suite 1501  
New York, NY 10006

# EXHIBIT I

**From:** Marcus Nussbaum <marcus.nussbaum@gmail.com>  
**Sent:** Sunday, August 13, 2017 2:14 PM  
**To:** Gerry Doyle; Jon Werner  
**Cc:** Dennis M. Cavanaugh; Cristina M. Pedreira  
**Subject:** Michael Hitrinov

Counsel,

Please be advised that there will be a telephonic conference on Monday, August 14, 2017 at 3:00 p.m. with the Honorable Judge Dennis M. Cavanaugh. The topic of discussion will be the attempted perpetration of a fraud upon the Federal Maritime Commission by you and your clients arising out of your filing of a Petition for attorneys fees therein, despite your unequivocal waiver of the right to seek same.

Call in details will be circulated under separate cover. There will be no adjournments of this conference.

Be guided accordingly.

***Regards,***

Marcus A. Nussbaum, Esq.  
P.O. Box 245599  
Brooklyn, NY 11224  
Tel: 888-426-4370  
Fax: 347-572-0439  
<http://www.nussbaumlawfirm.com/>

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# EXHIBIT J

**From:** Jon Werner <jwerner@lyons-flood.com>  
**Sent:** Tuesday, August 15, 2017 1:13 PM  
**To:** 'Marcus Nussbaum'; 'Gerry Doyle'  
**Subject:** RE: FMC Docket No. 14-16  
**Attachments:** June 15 2016 email.pdf; August 16 2016 letter.pdf

Mr. Nussbaum,

There was no conference, telephonic or otherwise, scheduled yesterday or ordered by anyone, with respect to the above captioned FMC matter, or any other case involving my clients.

As you are aware, Judge Cavanaugh was only appointed as a Special Master to handle resolution of discovery disputes in the unrelated case captioned as *Empire United Lines Co., Inc. v. Baltic Auto Shipping, Inc.*, 15 Civ. 355 (CCC)(MF) which was pending in the District of New Jersey until it was dismissed last year on June 15, 2016.

To “refresh your recollection” attached please find a copy of your June 15, 2016 email in which you confirmed your understanding that the DNJ “matter is now closed” and that Judge Cavanaugh’s “much appreciated and valued services in this matter have now been completed.” Also attached is a copy of the August 16, 2016 letter you docketed in that case last year confirming your understanding that the DNJ matter is closed and that any motion to reopen the case would be untimely and should be rejected.

I have not received any notification from the Court in that matter of any conferences, nor would I expect to receive any such notification given that the matter has been closed for over a year now.

Your attempt to somehow delay the time for Complainant’s to file their opposition to Respondents’ Petition Regarding Attorney Fees by setting up an unnecessary conference call does not make it a Court ordered conference.

As such, my clients will not agree to consent to any further request for an extension of time for Complainant to oppose Respondents’ Petition Regarding Attorney Fees on the basis of a fictitious “conference” that you propose to hold relating to a long-closed and unrelated Federal case, regarding an issue that has already been decided by the Commission (*i.e.* Respondents’ right to file a petition regarding attorney fees in this matter).

In fact, given that your claim of a “conference” appears to be nothing more than a pretext for your continued and unending attempts to delay the orderly conduct of this matter, my clients will strongly oppose your request. Respondents have no interest in participating in your supposed conference and no intent to withdraw their petition regarding attorney fees in this matter.

Please ensure that if you file a motion seeking a further extension of time to respond to Respondents’ Petition Regarding Attorney Fees, you enclose a copy of this email and the accompanying attachments when you report Respondents’ opposition to your request.

Regards,

Jon  
Werner  
Lyons &  
Flood, LLP  
One Exchange  
Plaza  
55 Broadway,  
Suite 1501  
New York, NY  
10006  
Tel: (212) 594-  
2400  
Fax: (212) 594-  
4589  
Mob: (917)  
509-2797  
[jwerner@lyons-  
flood.com](mailto:jwerner@lyons-flood.com)



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**From:** Marcus Nussbaum [<mailto:marcus.nussbaum@gmail.com>]  
**Sent:** Monday, August 14, 2017 10:27 PM  
**To:** Jon Werner; Gerry Doyle  
**Subject:** FMC Docket No. 14-16

Counsel,

Inasmuch as you have failed to participate in the telephonic conference which took place on Monday, August 14, 2017 at 3:00 p.m. before the Honorable Dennis M. Cavanaugh regarding the fraudulent Petition filed by you and your clients before the Federal Maritime Commission, please advise if your client will consent to an extension of time for complainant to file an opposition to your fraudulent Petition, up to and including September 6, 2017.

Said extension will allow you the opportunity to participate in a second conference to be scheduled with Judge Cavanaugh after which you may choose to withdraw your Petition and avoid further burdening the Court and the Commission with this fraudulent application and the legal, ethical, and criminal implications arising therefrom.

It is reasonably expected that you will note your client's consent or objection to the extension of time no later than 1:00 p.m. on August 15, 2017.

***Regards,***

Marcus A. Nussbaum, Esq.  
P.O. Box 245599  
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